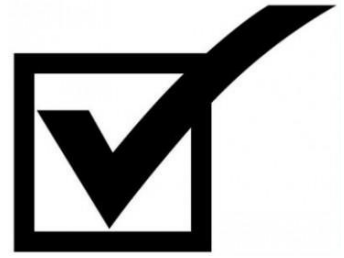


**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



ADVANCED COLLEGE ACCOUNTING (115)

NATIONAL 2025

Multiple Choice, Matching, & Short Answer Section:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Short Answer: (33 @ 2 points each) _____ (66 points)

Production Portion:

Job 1: Statement of Cash Flows (39 @ 1 point each) _____ (39 points)

Job 2: Merchandise Inventory Entries (39 @ 1 point each) _____ (39 points)

Job 3: Partnership Income Division (40 @ 1 point each) _____ (40 points)

TOTAL POINTS _____ (214 points)

**Graders: Please double check and verify all scores and
answer keys!**

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Part 1: MULTIPLE CHOICE- 2 points each (30 points)

1. B
2. C
3. D
4. C
5. A
6. D
7. B
8. C
9. D
10. D
11. C
12. D
13. C
14. B
15. C

Part 1: Adjusting Journal Entries - 20 @ 2 points each (40 points)

On the journal page below, journalize the following end of the year adjustments for the last day of June 2024.

Grader: Each account and amount are worth two points each. No points for date.

General Journal				
Date		Account Title	Debit	Credit
2024				
June	30	Depreciation Expense- Equipment	29,867	
		Accumulated Depreciation- Equipment		29,867
June	30	Bad Debt Expense	3,645	
		Allowance for Bad Debt		3,645
June	30	Inventory (new amount)	73,224	
		Purchase Discounts	32,994	
		COGS	4,567,486	
		Inventory (old amount)		84,933
		Purchases		4,566,887
		Freight In		21,884

Part 2: Bond Issue - 5 @ 2 points each (10 points)

- Premium**
- \$2,000,000**
- 7% or 3.5% semi-annually**
- \$80,000**
- \$2,142,132**

$$\begin{array}{rcl} 2,000,000 \times .50257 & = & 1,005,140 \\ + 80,000 \times 14.21240 & = & \underline{1,136,992} \end{array}$$

Part 3: Investment Adjusting Entries - 8 @ 2 points each (16 points)

- Amount \$11,000 Debit or Credit **Debit**
- Amount \$11,000 Debit or Credit **Credit**
- Amount \$14,000 Debit or Credit **Credit**
- Amount \$12,000 Debit or Credit **Credit**

Job #1: Statement of Cash Flows (39 @ 1 point each)

Chills Corporation		
Statement of Cash Flows		
For the Year Ending December 31, 2024		
Operating Activities:		
Cash collected from Customers	14,000	
Interest received on Investments	145	
Interest Paid on Debts	(270)	
Income Taxes Paid	(95)	
Cash Paid for Inventory	(1,300)	
Cash Paid for Operating Expenses	(720)	
Cash Flows from Operating Activities		11,760
Investing Activities:		
Proceeds from the Sale of Land	150	
Cash Paid for the Purchase of Equipment	(5,000)	
Cash Flows Used in Investing Activities		(4,850)

Financing Activities:		
Proceeds from the Sale of Common Stock	700	
Proceeds from the Issuance of Bonds	1,500	
Cash Paid on Debt	(1200)	
Cash Paid for Dividends	(180)	
Cash Flows from Financing Activities		<u>820</u>
Net Increase in Cash		7,730
Cash Balance, January 1, 2024		<u>11,550</u>
Cash Balance, December 31, 2024		<u>19,280</u>

Job #2: Merchandise Inventory Entries (39 @ 1 point each)

Using a perpetual inventory system, complete the journal entries below.

General Journal				
Date		Account Title	Debit	Credit
2024				
March	1	Accounts Receivable	13,300	
		Sales		13,300
		Cost of Merchandise Sold	7,400	
		Merchandise Inventory		7,400
March	8	Cash	10,650	
		Sales		10,650
		Cost of Merchandise Sold	6,300	
		Merchandise Inventory		6,300
March	16	Accounts Receivable	3,260	
		Sales		3,260
		Cost of Merchandise Sold	2,200	
		Merchandise Inventory		2,200
March	17	Credit Card Expense	322	
		Cash		322
March	22	Cash	3,180	
		Credit Card Expense	80	
		Accounts Receivable		3,260

Job #3: Division of Partnership Income (40 @ 1 point each)

Scenario 1: Net Income \$120,001

	<u>Laurel</u>	<u>Hardy</u>	<u>Total</u>
Salary Allowance	22,750	33,600	56,350
Interest Allowance	13,547	15,181	28,728
Remaining Income	23,282	11,641	34,923
Net Income	59,579	60,422	120,001

Scenario 2: Net Income \$180,000

	<u>Laurel</u>	<u>Hardy</u>	<u>Total</u>
Salary Allowance	78,400	89,600	168,000
Interest Allowance	11,408	12,784	24,192
Remaining Income	(4,064)	(8,128)	(12,192)
Net Income	85,744	94,256	180,000

Scenario 3: Net Income \$624,000

	<u>Moe</u>	<u>Larry</u>	<u>Curley</u>	<u>Total</u>
Salary Allowance	24,000	36,000	40,000	100,000
Interest Allowance	1,500	1,800	2,700	6,000
Remaining Income	129,500	155,400	233,100	518,000
Net Income	155,000	193,200	275,800	624,000